Superior Court of the State of California
County of Orange
TENTATIVE RULINGS FOR DEPARTMENT CM05
HON. Judge Ebrahim Baytieh

Date: 02/07/2025

Court Room Rules and Notices

#	Case Name	Tentative
1	Lady – Trust (2020-01154499)	**MOTION FOR SUMMARY JUDGEMENT** Respondent Kevin C. Kelter ("Respondent" or "Kevin") brings this Motion for Summary Judgment as to the "Petition for Instructions re Sale of Trust Property and for Suspension of Trustee and Appointment of Temporary Trustee" (ROA 125) filed by Petitioners Patricia Lady ("Patricia") and Elizabeth Ward ("Elizabeth") (collectively, "Petitioners"). The court uses first names for clarity. No disrespect is intended. EVIDENTIARY MATTERS Respondent's request for judicial notice is GRANTED as to exhibits A-G. While the court takes judicial notice of certain exhibits as listed above, the court does not take judicial notice of the truths asserted within those exhibits. (Lockley v. Law Office of Cantrell, Green, Pekich, Cruz & McCourt (2001) 91 Cal.App.4th 875, 882; Herrera v. Deutsche Bank National Trust Co. (2011) 196 Cal.App.4th 1366, 1375; Evid. Code,§§ 452, subd. (d)(l), (c), (h), 453; Fontenot v. Wells Fargo Bank, N.A. (2011) 198 Cal.App.4th 256, 264-265; Arce v. Kaiser Foundation Health Plan, Inc. (2010) 181 Cal.App.4th 471, 482.) Petitioners' objections made throughout the separate statement are overruled for failure to comply with California Rules of Court, rule 3.154(b) and (c). Respondent's evidentiary objections (ROA 556) are overruled for failure to comply with California Rules of Court, rule 3.154(c). Regardless, none of the objected to material was relied upon by the court in reaching its decision. PERTINENT UNDISPUTED FACTS This case involves the L. Leonard and Dorothy Lady Trust created on 3/23/84 by Settlors Leonard Lady ("Leonard") and Dorothy Lady

		(collectively, "Settlors"). (Respondent's Undisputed Material Facts ("RUMF"), 1, 3.) On 10/2/02, the Settlors created the 2002 Restatement Trust Agreement of L. Leonard and Dorothy Lady Trust. (RUMF, 4.) The 2002 Restatement was amended and restated by the Settlors on 5/1/09 ("Lady Trust"). (RUMF, 5.) The Settlors' three daughters - Linda Marie Kelter ("Linda"), Patricia, and Elizabeth – are the initial life beneficiaries of the Lady Trust. (RUMF, 6, 7.) Pursuant to the terms of the Lady Trust, upon the Settlors' death, each of the daughters' trusts is to receive an equal (1/3) life estate in the Lady Trust property. (RUMF, 7; Petitioners' Undisputed Material Facts ("PUMF"), 15) On 5/1/09, when the Lady Trust was created, Leonard created three largely identical trusts for each daughter, referred to herein as Patricia's Trust, Elizabeth's Trust, and Linda's Trust (collectively, the "Daughters' Trusts"). (RUMF, 11.) Kevin is the successor trustee of the Lady Trust. (RUMF, 8.) Kevin is the trustee each of the Daughters' Trusts. (RUMF 12; PUMF, 13.) Kevin is also Linda's husband (RUMF, 2.) The named successor trustees for the Lady Trust, Patricia's Trust, and Elizabeth's Trust are Linda and Elizabeth as co-trustees, then Patricia. (PUMF, 8, 13.) Patricia's Trust and Elizabeth's Trust (collectively, "Petitioners' Trusts") are irrevocable and provide them with a life estate in the Lady Trust property. (RUMF, 14.) The remainder beneficiaries are their issue or the remaining two Daughters' Trusts if they have no issue. (Id.) The purpose of the Daughters' Trusts was to create a spendthrift or discretionary trust to enable Leonard to make gifts for the life beneficiaries (i.e., his daughters). (RUMF, 16.) One asset of the Lady Trust, in which the daughters have a 1/3 life estate, is residential real property located in Lake Arrowhead, California ("Arrowhead Property"). (PUMF 15; RJN, Ex. A, Ex. 1, p. 8.) As acknowledged by Petitioners, the Settlors had a strong emotional connection to the Arrowhead Property and desired for it to stay in the family. (PUMF, 38, 40.)

		After Leonard passed away in 2016, there was a substantial increase in the costs of repairs and maintenance for the property in question. (PUMF, 29; RUMF 31-59.) Kevin pays all expenses for the Arrowhead Property from a Wells Fargo account titled in the name of Linda's Trust ("Arrowhead Account"). (RUMF, 26.) Kevin deposits funds from the Daughters' Trusts to the Arrowhead Account and pays all expenses for the Arrowhead Property from the Arrowhead Account. (RUMF, 27.) The Arrowhead Property has stayed afloat since 2021 solely from funds transferred from the Lady Trust to the Daughters' Trusts. (RUMF, 54.) Kevin considers each transfer as a "loan" from the Lady Trust to the Daughters' Trusts. (RUMF, 55.) Kevin has provided accountings for the Lady Trust and for Petitioners' Trusts. (RUMF, 30.) The accountings show a significant increase in expenses for maintenance, repairs, and improvements for the Arrowhead Property since Leonard's death. (RUMF, 31-59.) The accountings also show that Kevin hired his own construction company and/or his sons to perform many of the repairs and improvements. (Id.) Kevin prepared accountings for the Petitioners' Trusts for the period of 12/31/22 to 12/31/23. (RUMF, 57.) The 2023 Accountings show that the Arrowhead Property had a market value of $2,250,000 on 12/31/22 and a market value of $1,176,699.99 on 12/31/23. (RUMF, 58.) On or about 10/1/16, after Leonard's death, Kevin entered into a "Tenants In Common Agreement" with himself as trustee of each of the Daughters' Trusts ("Arrowhead Agreement"). (RUMF, 60.) In the Arrowhead Agreement, Kevin appoints himself as property manager of the Arrowhead Property. (RUMF, 61.) The Arrowhead Agreement prohibits the Arrowhead Property from being leased or sold. (RUMF, 62, 63.) Kevin can terminate the Arrowhead Agreement any time he wants. (RUMF, 67.) The court notes that all of the facts about the Arrowhead Agreement are undisputed. Petitioners have received no benefit from the Arrowhead Property since 2016. (RUMF, 20.) The Arrowhead Property has been used for the exclusive benefit of Kevin and Linda's family since 2016. (RUMF, 23.) Patricia testified at her deposition that Respondent has not prevented her from visiting the Arrowhead Property. (PUMF, 39.) Elizabeth testified at her deposition that she does not want to visit the Arrowhead Property because she does not want to interact with Kevin. (Id.)

Article 7.2.7 of the Petitioners' Trusts gives Kevin authority to sell the Arrowhead Property.

Kevin has rejected Petitioners' demand to sell the Arrowhead Property. (PUMF, 44.)

MERITS OF THE MOTION

On 9/20/22, Petitioners filed the "Petition for Instructions re Sale of Trust Property and for Suspension of Trustee and Appointment of Temporary Trustee" (ROA 125) ("Petition") that is the subject of this motion for summary judgment. The Petition seeks the following orders:

1. That Kevin be ordered to sell the Arrowhead Property;
2. That Kevin be suspended as trustee of the Petitioners' Trusts; and
3. That Petitioners be appointed as interim trustees of their own trusts.

"[F]rom commencement to conclusion, the party moving for summary judgment bears the burden of persuasion that there is no triable issue of material fact and that he is entitled to judgment as a matter of law." (Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 850.) Additionally, the moving party bears the initial burden of production to make a prima facie showing that there are no triable issues of material fact. (Ibid.) The burden of production entails only the presentation of evidence; the burden of persuasion entails establishing a requisite degree of belief based on such evidence. (Ibid.)

A defendant seeking summary judgment must show that at least one element of the plaintiff's cause of action cannot be established, or that there is a complete defense to the cause of action. Upon such a showing, the burden shifts to the plaintiff to show there is a triable issue of material fact on that issue. (Alex R. Thomas & Co. v. Mutual Service Casualty Ins. Co. (2002) 98 Cal.App.4th 66, 72.) The moving party's declarations and evidence will be strictly construed in determining whether they negate an essential element of plaintiff's claim in order to avoid unjustly depriving the plaintiff of a trial. (Molko v. Holy Spirit Assn. (1988) 46 Cal.3d 1092, 1107.)

The plaintiff opposing a motion for summary judgment has no burden to come forward with any evidence unless and until the moving defendant has discharged its burden of proof. "There is no obligation on the opposing party … to establish anything by

		affidavit unless and until the moving party has by affidavit stated facts … necessary to sustain a judgment in his favor." (Consumer Cause, Inc. v. SmileCare (2001) 91 Cal.App.4th 454, 468, internal citations omitted.) Re Order for Instruction to Sell the Arrowhead Property Kevin asserts that he cannot be ordered to sell the Arrowhead Property because (1) the sale would be contrary to the Settlors' intent; and (2) he has sole power and absolute discretion as trustee of the trusts. Neither of these facts, even if true, provide a complete defense to Petitioners' cause of action for an order instructing Kevin to sell the Arrowhead Property. Re Settlors' Intent The Trusts do not expressly state the intent of the Settlors concerning the Arrowhead Property. Kevin argues that the Settlors' intent to keep the Arrowhead Property is evidenced by the language in the Trust giving him, as trustee, sole discretionary power and restricting Petitioners' interests to a life estate. Kevin also relies on extrinsic evidence to support his assertion that the Settlors intended for the Arrowhead Property to stay in the family for generations to come. He argues that he has reasonably refused Petitioners' right to sell the Arrowhead Property because its sale would be contrary to the Settlors' intent. Petitioners concede that the Settlors would have liked to keep the Arrowhead Property in the family. They argue, however, that the Settlors did not intend to keep the Arrowhead Property in the family at all costs. Petitioners assert that the Settlors' primary intention in creating the Petitioners' Trusts was to benefit the Petitioners and that the Settlors did not intend to keep the Arrowhead Property if doing so would be detrimental to Petitioners. Even if the Settlors intended to keep the Arrowhead Property in the Trust, such fact alone would not prohibit the court from ordering the sale of the Arrowhead Property under every circumstance. Kevin's Absolute Discretion Likewise, Kevin's sole discretion, alone, is not grounds to deny the petition for an order instructing the trustee to sell the Arrowhead Property.

Probate Code section 16080 requires that a trustee act in accordance with fiduciary principles and not act in bad faith or in disregard for the purpose of the trust, even if a trust instrument confers the trustee with absolute, sole, or uncontrolled discretion.

Petitioners argue that Kevin's refusal to exercise his power to sell the Arrowhead Property is contrary to his fiduciary duties, because he is acting solely for his own benefit and that of his wife, Linda.

While the parties expend much effort in arguing who is enjoying the use of the Arrowhead Property, the use and enjoyment of the Arrowhead Property alone is not dispositive. Even if each of the Settlors' three daughters had exclusive use of the Arrowhead Property alone for four months out of the year, the court would still have authority to order its sale under certain circumstances.

Court's Authority to Order Sale of Trust Property

Courts can intervene and order the sale of trust property if it is necessary to prevent serious loss or destruction of the trust estate, even if the trust explicitly prohibits such a sale. (Security-First Nat. Bank v. Easter (1934) 136 Cal.App. 691, 697.) Here, the Lady Trust and the Petitioners' Trusts do not prohibit the sale of the Arrowhead Property. In fact, Kevin concedes that the Lady Trust authorizes him to sell it.

There are triable issues of fact as to whether the cost of maintaining the Arrowhead Property justifies an order that it be sold. Kevin concedes that the costs are currently being paid by the Petitioners' Trusts from "loans" they receive from the Lady Trust. (RUMF 54, 55.) Thus, the Petitioners' Trusts are incurring debt to maintain the Arrowhead Property.

Kevin argues that the Petitioners have been benefited by the costs of repairs and improvements to the Arrowhead Property because the result has been an increase in value from approximately $1.5-2M in 2016 to $3.5M today. However, there is insufficient evidence to support this argument.

Kevin's real estate expert, Meghan Hardin-Griffiths, states the current value of the Arrowhead Property in conclusory fashion based only on her "inspection and experience." She does not provide any facts or analysis to support her opinion. Further, her opinion as to the market value of the property on June 11, 2016, is completely unsupported. "The value of opinion evidence rests not in the

		conclusion reached but in the factors considered and the reasoning employed." (Pacific Gas & Electric Co. v. Zuckerman (1987) 189 Cal.App.3d 1113, 1135.) Further, the opinion of Ms. Hardin-Griffiths conflicts with Kevin's 2023 Accountings, which show the market value decreasing. While there is no competing expert declaration, the court must still strictly construe the moving party's papers and liberally construe the opposing party's papers to determine if they raise a triable issue of material fact. Second, even if the Arrowhead Property has increased in value as a result of the extensive repairs and improvements, there would remain a triable issue as to whether the benefit Petitioners may derive from the increased value of the property outweighs the burden of maintaining it. Kevin has not met his burden of showing that no triable issues of fact exist as to whether the court should order the sale of the Arrowhead Property. No Motion for Summary Adjudication An order granting summary judgment must dispose of the entire case thereby negating the need for trial. (Aguilar v. Atl. Richfield Co., (2001) 25 Cal. 4th 826, 858, internal citation omitted.) Kevin has not moved for summary adjudication in the alternative. The court cannot deem the instant motion a motion for summary adjudication because it fails to comply with the stringent requirements of California Rules of Court, Rule 3.1350(b). Since the issue of whether the trustee should be instructed to the sell the Arrowhead Property remains triable, the motion for summary judgment must be denied. The court need not reach the remaining requests for relief. Motion for summary judgment is DENIED. Counsel for Petitioners is ordered to give notice.
2	Obert – Trust (2020-01124614)	**MOTION TO SET ASIDE** Linda Dengler's motion to set aside the 6/7/24 Judgment is **DENIED**. **<u>Evidentiary Matters</u>**